CASCADIA ANALYTICS

Microsoft Corporation

Equity Research Note | MSFT | 21 OCTOBER 2026

The capex moat is structural

Microsoft Corporation screens as a Hold, Valuation Concerns with a $389.50 blended target, 27% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$532.84	$389.50	-27%	HOLD, VALUATION CONCERNS

Investment Thesis

The capex moat is structural. Power constraints on new data centers favor incumbents with capital. Microsoft funds its own power supply, locking tier-two competitors out of frontier AI training. Overvalued but high quality. Our DCF gives Bear $302.40 / Base $388.53 / Bull $478.56, blended $389.50, 27% below the $532.84 spot. The market prices in a 19.8% five-year revenue CAGR, above our 16% Bull case. Hold, Valuation Concerns. We rate Microsoft Hold, Valuation Concerns. The assumptions are reasonable, but the

- The capex moat is structural
- Overvalued but high quality
- Hold, Valuation Concerns

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The latest print

Overvalued but high quality. Our DCF gives Bear $302.40 / Base $388.53 / Bull $478.56, blended $389.50, 27% below the $532.84 spot. The market prices in a 19.8% five-year revenue CAGR, above our 16% Bull case.

Hold, Valuation Concerns. We rate Microsoft Hold, Valuation Concerns. The assumptions are reasonable, but the price demands more than our 12% base CAGR can deliver. A pullback toward $388.53 would make it constructive.

$531.87	$331.8B	50.9%	34.9%	1.099	$391.87
PRICE (18-OCT-26)	FY2026 REVENUE	FY2026 EBIT MARGIN	FY2026 CAPEX INTENSITY	BETA (5Y)	DCF BASE TARGET

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Price (18-Oct-26)	$531.87	+51%	Up
FY2026 revenue	$331.8B	+17.8%	Up
FY2026 EBIT margin	50.9%	+6.2pp	Up
FY2026 capex intensity	34.9%	+12.0pp	Up
Beta (5Y)	1.099	n/a	Stable
DCF base target	$391.87	-26% vs spot	n/a

The moat

Power constraints on new data centers favor incumbents with capital. Microsoft funds its own primary power (nuclear PPAs, utility upgrades), locking tier-two competitors out of frontier AI training.

The growth engine

FY2026 revenue of $331.8B grew 17.8% with Azure as the primary driver. Copilot integration across Office 365 and Dynamics expands ARPU and monetizes the infrastructure spend downstream. Enterprise lock-in makes this revenue base exceptionally durable.

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Microsoft Corporation valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	$487.58B	46.5%	**$302.40**	-43%
Base	50%	12.0%	$584.81B	50.0%	**$388.53**	-27%
Bull	25%	16.0%	$696.98B	52.0%	**$478.56**	-10%

Bear: downside case at $302.40 (-43%).

Base: central case at $388.53 (-27%).

Bull: upside case at $478.56 (-10%).

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The probability-blended target implies 27% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -27% from the $532.84 reference price.

$389.50
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Valuation horizon	**2027-2031**
Live WACC	**9.12%**
WACC path (Year 1 to final year)	**9.12% to 8.58%**
Terminal growth	**2.5%**
Net debt	**$35.89B**
2031 FCF (Base)	**$208.76B**
10-year Treasury yield	**5.1%**
Beta	**1.10**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $389.50 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 19.9%. at/above Bull (16%) — euphoric

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Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-20%	$678.4B	$86.20	+0%	$1750.7B	$230.08	**+20%**	**$4012.2B**	**$533.52**
-19%	$713.3B	$90.89	+1%	$1829.9B	$240.70	+21%	$4170.0B	$554.69
-18%	$749.9B	$95.79	+2%	$1912.0B	$251.72	+22%	$4332.9B	$576.55
-17%	$788.0B	$100.92	+3%	$1997.2B	$263.16	+23%	$4501.0B	$599.11
-16%	$827.9B	$106.27	+4%	$2085.6B	$275.02	+24%	$4674.5B	$622.38
-15%	$869.6B	$111.86	+5%	$2177.3B	$287.33	+25%	$4853.5B	$646.39
-14%	$913.0B	$117.69	+6%	$2272.4B	$300.08	+26%	$5038.0B	$671.15
-13%	$958.4B	$123.78	+7%	$2370.9B	$313.30	+27%	$5228.3B	$696.68
-12%	$1005.7B	$130.12	+8%	$2472.9B	$326.99	+28%	$5424.4B	$723.00
-11%	$1055.0B	$136.74	+9%	$2578.6B	$341.17	+29%	$5626.6B	$750.12
-10%	$1106.4B	$143.64	+10%	$2688.1B	$355.86	+30%	$5834.9B	$778.07
-9%	$1160.0B	$150.82	+11%	$2801.4B	$371.06			
-8%	$1215.8B	$158.31	+12%	$2918.7B	$386.80			
-7%	$1273.8B	$166.10	+13%	$3040.0B	$403.07			
-6%	$1334.2B	$174.21	+14%	$3165.5B	$419.91			
-5%	$1397.1B	$182.64	+15%	$3295.3B	$437.32			
-4%	$1462.5B	$191.41	+16%	$3429.4B	$455.32			
-3%	$1530.5B	$200.53	+17%	$3568.1B	$473.93			
-2%	$1601.1B	$210.01	+18%	$3711.3B	$493.15			
-1%	$1674.5B	$219.86	+19%	$3859.3B	$513.01			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$2,289.65B	—	2.5%	-$35.89B	$2,253.76B	**$302.40**
Base	$2,931.58B	—	2.5%	-$35.89B	$2,895.69B	**$388.53**
Bull	$3,602.57B	—	2.5%	-$35.89B	$3,566.68B	**$478.56**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$302.40	$329.98	$343.58	$356.76	$369.43	$381.40
Base	$388.53	$423.96	$444.20	$463.70	$482.18	$499.18
Bull	$478.56	$522.20	$549.82	$576.37	$601.26	$623.63

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $389.50 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Power constraints on new data centers favor incumbents with capital. Microsoft funds its own primary power (nuclear PPAs, utility upgrades), locking tier-two competitors out of frontier AI training.

FY2026 revenue of $331.8B grew 17.8% with Azure as the primary driver. Copilot integration across Office 365 and Dynamics expands ARPU and monetizes the infrastructure spend downstream. Enterprise lock-in makes this revenue base exceptionally durable.

FY2026 gross margin 67.9%, EBIT margin 50.9% ($169.0B), net margin 40.3%. These are best-in-class software economics that fund the AI build-out from operating cash flow ($182.9B in FY2026) without straining the balance sheet.

$20.9B cash against $56.8B total debt (net debt $35.9B) on a $3.93T market cap is effectively unlevered. The balance sheet funds multi-gigawatt energy infrastructure that competitors cannot match.

Revenue and margin trend

METRIC	FY23	FY24	FY25	FY26
Revenue ($B)	211.9	245.1	281.7	331.8
EBIT margin	43.1%	45.2%	44.7%	50.9%
Capex % of revenue	13.3%	18.1%	22.9%	34.9%
FCF margin	28.1%	30.2%	25.4%	20.2%

Valuation cross-check

P/E (fwd) 22.3x

DCF Base $388.53

PEG 1.72

EV/Revenue 11.9x

DCF implies 27% downside at $532.84. Forward earnings price high growth at a reasonable PEG; the multiple is full relative to the 19.8% implied revenue CAGR.

AWS (AMZN) and Google Cloud (GOOGL) are the only peers that can match the AI capex cycle

MSFT forward P/E 22.3x is at the low end of mega-cap software

The compute scarcity premium favors the three hyperscalers equally; differentiation comes from enterprise distribution, where Microsoft leads.

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EV/Revenue 11.9x

In line with historical mega-cap software premiums

Multiple reflects Azure hypergrowth expectations; any deceleration would compress it toward the 8-9x mature range.

What to monitor

Late-Oct-26. Q1 FY2027 print: Azure growth rate, AI-workload contribution to Azure, and commercial bookings are the read-through metrics for the capex cycle.

2027-Q2. Capacity ramp: whether the next wave of AI data center capacity converts to Azure revenue growth above 30% without further capex intensity creep.

Ongoing. Capital allocation: shareholder returns (dividends/buybacks) vs the AI build-out. Any capex normalization signal would re-rate the FCF engine materially.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$168.1B	$115.9B	$69.9B	—
2022	$198.3B	$135.6B	$83.4B	—
2023	$211.9B	$146.1B	$88.5B	$105.1B
2024	$245.1B	$171.0B	$109.4B	$131.7B
2025	$281.7B	$193.9B	$128.5B	$155.4B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$333.8B	$191.8B	$142.0B	$14.2B
2022	$364.8B	$198.3B	$166.5B	$13.9B
2023	$412.0B	$205.8B	$206.2B	$34.7B
2024	$512.2B	$243.7B	$268.5B	$18.3B
2025	$619.0B	$275.5B	$343.5B	$30.2B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$76.7B	$-20.6B	$-48.5B	$56.1B
2022	$89.0B	$-23.9B	$-58.9B	$65.1B
2023	$87.6B	$-28.1B	$-43.9B	$59.5B
2024	$118.5B	$-44.5B	$-37.8B	$74.1B
2025	$136.2B	$-64.6B	$-51.7B	$71.6B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $389.50 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 30 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.08% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $85.91M of sales, a net flow of -$85.91M. One-year total shareholder return is +2.2% against CEO total pay of $12.25M (Mr. Satya Nadella), which the model scores as STANDARD CORPORATE.

30
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.08% of shares held by insiders
Form 4 Flow (Conviction Flow)	8 / 30	Buys $0 (0) vs sales $85.91M (9), net -$85.91M, trailing six months
Pay-for-Performance	20 / 30	STANDARD CORPORATE: Market Standard Corporate Governance. 1Y TSR +2.2%; Mr. Satya Nadella, Chairman & CEO, total pay $12.25M
Agency Risk Score	**30 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-13	Hood Amy E	Chief Financial Officer	SELL	7,305	$3.98M
2026-09-14	Hood Amy E	Chief Financial Officer	SELL	41,674	$20.76M
2026-09-01	Nadella Satya	Chief Executive Officer	SELL	86,525	$43.39M
2026-08-05	Althoff Judson	Officer	SELL	10,000	$4.88M
2026-08-04	Numoto Takeshi	Officer	SELL	4,810	$2.39M
2026-06-10	Numoto Takeshi	Officer	SELL	4,500	$1.81M
2026-06-08	Numoto Takeshi	Officer	SELL	2,500	$1.03M
2026-06-01	Althoff Judson	Officer	SELL	15,500	$7.15M

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker (foreign private issuers file no DEF 14A), so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Capex intensity persists

FY2026 capex was $115.9B (34.9% of revenue), up from 22.9% in FY2025. If this intensity persists, free cash flow margins stay in the low 20s and the DCF base target falls further. The model assumes normalization to 14%; that is a forecast judgment, not a filing fact.

Power constraints cut both ways

Data center power constraints are currently an advantage, but they can also slow Microsoft's own capacity additions and raise costs. AWS and Google can match the capital spend, keeping cloud pricing competitive and capping Azure's pricing power.

Perfection is priced in

At $532.84, the stock embeds a 19.8% 5-year revenue CAGR per the reverse DCF, above the 16% Bull case. Any Azure deceleration or margin slip would force a painful multiple compression from EV/Revenue 11.9x.

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The strengths

Operating Quality

Best-in-class software economics: 67.9% gross margin, 50.9% EBIT margin, 40.3% net margin in FY2026. Operating cash flow of $182.9B funds the build-out internally; the $35.9B net debt is immaterial against a $3.93T market cap.

Recent Trend

Revenue compounded from $211.9B (FY23) to $331.8B (FY26), a 16.1% CAGR with no deceleration (FY26 +17.8%). EBIT margin expanded 6.2pp YoY to 50.9%. Azure remains the engine with AI-workload contribution rising.

Forward Growth

Base case 12% 5-year CAGR assumes Azure sustains high-20s growth while Productivity/Windows grows low-single-digits. Copilot ARPU expansion and commercial bookings provide multi-year visibility. Regulatory power constraints favor incumbents

Valuation

DCF base $388.53 vs $532.84 spot implies 27% downside. The market prices in a 19.8% 5-year revenue CAGR per the reverse DCF, above even the 16% Bull case. Forward P/E 22.3x and EV/Revenue 11.9x embed high expectations.

Cascadia scorecard

Composite score 67: Attractive. Confidence High, as of 2026-10-18.

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PILLAR	RATIONALE	SCORE
Operating Quality	Best-in-class software economics: 67.9% gross margin, 50.9% EBIT margin, 40.3% net margin in FY2026. Operating cash flow of $182.9B funds the build-out internally; the $35.9B net debt is immaterial against a $3.93T market cap.	85
Recent Trend	Revenue compounded from $211.9B (FY23) to $331.8B (FY26), a 16.1% CAGR with no deceleration (FY26 +17.8%). EBIT margin expanded 6.2pp YoY to 50.9%. Azure remains the engine with AI-workload contribution rising.	82
Forward Growth	Base case 12% 5-year CAGR assumes Azure sustains high-20s growth while Productivity/Windows grows low-single-digits. Copilot ARPU expansion and commercial bookings provide multi-year visibility. Regulatory power constraints favor incumbents with capital.	75
Valuation	DCF base $388.53 vs $532.84 spot implies 27% downside. The market prices in a 19.8% 5-year revenue CAGR per the reverse DCF, above even the 16% Bull case. Forward P/E 22.3x and EV/Revenue 11.9x embed high expectations.	35
Catalysts & Risk	Near-term catalysts: Q1 FY27 print, Azure growth trajectory, any capex normalization signal. Key risks: sustained 35% capex intensity crushing FCF margins, AWS/Google pricing pressure, regulatory scrutiny, and a multiple with no room for disappointment.	65

Investment view

Azure growth decelerating below 25% or capex intensity persisting above 25% of revenue would cut the FCF engine and our targets. Sustained 30%+ Azure growth with capex normalizing toward 15% of revenue would support a rerating toward the $478.56 Bull case.

Investment view: Hold, Valuation Concerns. The $389.50 blended target implies -27%, balancing the $302.40 / $388.53 / $478.56 Bear / Base / Bull outcomes.

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